

AFLCMC/WFK SECTION H PROS 7 OBJECTIVE PERFORMANCE INCENTIVE (OPI) (JUN 2025)

(a) Opportunity Performance Incentive (OPI) Potential. The Contractor has the opportunity to earn up to \$12,500,000 in OPI over the life of this contract, based on cumulative achievement of the performance objectives and thresholds outlined in this clause and further detailed in the Performance Work Statement (PWS).

(b) Definitions. For the purposes of this clause:

(1) *Customer Communication* means communications that meet the criteria of timeliness and completeness as outlined in Section 3.6 of the PROS 7 PWS.

(2) *Verified Supply Discrepancy Report* means a Supply Discrepancy Report that the Government has determined to be valid in accordance with Section 4.3 of the PROS 7 PWS.

(c) Performance Criteria and Award Amounts. The Contractor may earn OPI based on the following performance criteria:

PERFORMANCE CRITERIA	OBJECTIVE	AWARD
OPI 1 – Timely Shipping – Procurement (< 180 Days)	70-74.9%	\$ 50,000
	75-79.9%	\$ 125,000
	> 80%	\$ 275,000
OPI 2 – Timely Shipping – Maintenance (< 400 Days) [available after base year]	70-74.9%	\$ 50,000
	75-79.9%	\$ 125,000
	> 80%	\$ 275,000
OPI 3 – Customer Communication	90-94.9%	\$ 100,000
	> 95%	\$ 250,000
OPI 4 – Cancellation Rate	< 15%	\$ 300,000
OPI 5 – Quality (Verified Supply Discrepancy Reports)	< 10 Verified	\$ 50,000
	< 5 Verified	\$ 150,000

(d) OPI Evaluation. The Contractor's performance will be evaluated semiannually in accordance with a schedule determined at time of award. The Government will use the primary surveillance system (e.g., PROS-IS / SAMIS) and methods defined in the PWS to monitor performance. Evaluated scores will be rounded down to the nearest whole number (e.g., 94.999% will be rounded to 94%).

(e) OPI Adjustment for Defective Performance. If the Government determines that the Contractor has provided defective supplies, maintenance, or services under a Task Order, the OPI associated with the affected performance period may be reduced proportionally to the impact of the defect, as determined by the Contracting Officer (CO). Prior to any reduction in OPI, the Contractor will be provided with written notice of the alleged defect and will be given 30 days to provide a written response demonstrating why the OPI should not be reduced. The CO will consider the Contractor's response before making a final

determination. This clause is intended to provide the Government with a remedy for defective performance and does not limit any other rights or remedies available under this contract or applicable law.

(f) OPI Payment Process. Upon satisfactory demonstration of performance against the OPI criteria for a given performance period, the Program Management Office (PMO) and CO will evaluate if the Contractor's performance warrants payment of an OPI, and the CO will authorize payment via task order. The Contractor may bill for the OPI immediately upon receipt of the task order.

(g) Performance Monitoring and Quality Assurance. The Government will monitor the Contractor's performance throughout the contract period. Site visits to the Contractor's facility will be conducted in accordance with the PWS to ensure compliance with contract requirements.

(h) Applicability of Contract Clauses. Except as specifically modified herein, all clauses of this contract, including but not limited to those relating to payment and termination shall apply to the OPI.